# Does this guy know to drive a car?




- Course focus will be on concepts/ principles/ interpretation
- Not on mechanics/rules
- Manager's perspective; Not an Accountant's
- Nothing wrong with Accountants!
- Accountants (myself included) are actually sane and nice people (but we may appear and behave otherwise sometimes) ☺
- Objective of the course is to read, understand and interpret Financial Statements for making business decisions; not to become GAAP experts

Source: https://en.wikipedia.org/wiki/Lewis_Hamilton

# ACCOUNTING PRINCIPLES / CONCEPTS

- Economic Entity Assumption
- Going Concern Assumption
- Periodicity Assumption
- Monetary Unit Assumption
- Historical Cost Principle (measurement basis)
- Fair Value Principle (measurement basis)
- Full Disclosure Principle (Materiality)
- Conservatism or Prudence Principle
- Accrual Basis
- Realisation Principle
- Matching Principle

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# BASIC ACCOUNTING TERMS

- **Assets, Liabilities, Equity, Income, Expense**
- **Assets** are items “owned” by the entity; a resource that is expected to give economic benefits to its owner in future accounting period(s)
- **Liabilities** are items “owed” by the entity; an obligation that needs to be settled by giving up assets
- **Equity** is net assets (residual). Can be positive or negative
- **Income** is value generated by selling/providing goods/services or from investments
- **Expense** is the cost of generating income (whose economic benefit has been fully utilized in the accounting period)

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